

- IRAs, 388–89
 irrelevance result, delegated portfolio management, 499–500, 502
 irrevocable trusts, 406
 IRR. *See* internal rate of return (IRR)
- Janus, 519–22, 525, 528–29, 551, 554–55
 Janus Global Research, 529–31, 538–44
 Janus Twenty, 520–21, 524
 Janus Worldwide, 519–20, 529–31, 538–44
 Japan compared to United States, 74–76, 79
 Jensen, Michael, 314, 532
 Jensen's alpha, 314
 Jensen's terms, 145–46
 joint hypothesis problem, 331
 Jones, Alfred Winslow, 559–60, 562
 JP Morgan Chase, 273
 Jumpstart Our Business Startups Act of 2011, 561
 junk bonds, 296. *See also* bonds, credit spread (corporate bonds)
- Kahneman, Daniel, 62–65
 Kahneman and Tversky (1979). *See* loss aversion or prospect theory
 Kansas City Southern Industries (KCSI), 554–55
 Kauffman Foundation report. *See* Ewing Marion Kauffman Foundation report
 keeping up with the Joneses utility. *See* catching up with the Joneses utility
 Kelly (1956) Rule, 101, 104, 145, 147
 Kepos Capital, 585
 Keynes, John Maynard, 26, 111, 223
 Knightian uncertainty, 69
 Korean War, inflation following, 348
 Kuwait Investment Authority (KIA), 10, 613
- labor income, 31–32, 151–57, 174–75. *See also* life-cycle, investing over the
 factors in, 154, 156
 lagged volatility and future returns, 334. *See also* risk anomaly
 Latin American debt crisis (1980s), 415
 LDI. *See* Liability-driven investment
 Lehman Brothers, 83, 442, 454, 557
 level factor, interest rates, 274–77
 leverage, 32, 341–42, 526–27, 561, 580–81
 leveraged buyouts, 595. *See also* private equity
 leveraged ETFs, 552–53
 leverage effect, volatility, 218
 Levy–Markowitz mean-variance approximation, 51
 liability-driven investment (LDI), 20–22
 liability hedging, 141–44, 177
 Liberty Life Insurance Co, 182
 Libya sovereign wealth fund, 33
 life-cycle, investing over the, 149–89
 bond-like human capital, 163–65
 stock-like human capital, 165–67
 limited partners, 561, 594
 limited partner performance puzzle, 615–16
 Lintner, John, 197
 liquidity, and sovereign wealth funds, 7
 liquidity risk. *See* illiquidity risk
 lockups, hedge funds, 430, 586
 log returns, 527–29, 626–27
 Lone Pine Capital, 509–10
 longevity risk, 143, 151, 180–82, 186
 long-horizon investing fallacies
 buy and hold is not optimal, 120–21
 short-term investing, long-term investing as, 121–22
 long-horizon predictability, 260–63
 long run, investing for the, 113–48. *See also* Merton–Samuelson model; rebalancing
 long-run risk model. *See* Bansal–Yaron (2004)
 long-run risk model
 long-short positions, factor investing, 445
 long-term bonds. *See* bonds, term spread (long-term bonds)
 Long-Term Capital Management (LTCM), 388, 454, 560, 579, 585
 loss aversion or prospect theory, 62–65, 472
 Lost Decade (2000s), equities, 240–42, 270, 419
 lottery winners, 30
 low risk anomaly. *See* risk anomaly
 low volatility factor, 306, 339–41
 LSV Asset Management, 323–27
 LTCM. *See* Long-Term Capital Management (LTCM)
 Lucas, Robert, 242–43, 348
 Lynch, Peter, 323
- macro factor investing, 474–76
 macro factors, 215–25, 375, 479. *See also* consumption, as factor
 economic growth, 215–17, 277–80, 290–92
 inflation, 217, 252–56, 277–80, 290–92, 346–85
 volatility, 218–22, 266–70, 298–300
 macro-factor term structure model, 287–90
 Maiden Lane, 273
 management fees, 559, 562, 610, 611
 management of pension funds, 22–23
 marginal agent, 251
 marginal utility, 41, 49, 70, 206, 245, 291
 market discount taxation, 400
 market impact costs, 541
 market incompleteness, 251
 market index fund, 588–90
 market making, 431–33
 market-neutral hedge funds, 572
 market portfolio, Merton–Samuelson model, 144
 market's risk aversion, 58–61, 244–48, 269–70